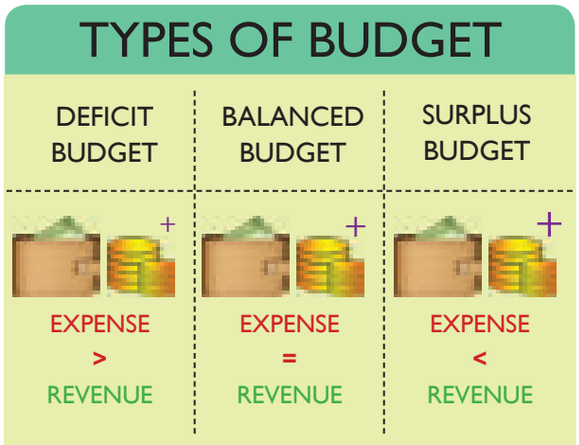
vii) Balanced Budget Vs Unbalanced Budget

A. Balanced Budget

Balanced budget is a situation, in which estimated revenue of the government during the year is equal to its anticipated expenditure.

Government's estimated Revenue
=
Government's proposed Expenditure.



B. Unbalanced Budget

The budget in which Revenue & Expenditure are not equal to each other is known as Unbalanced Budget.

Unbalanced budget is of two types:

1. Surplus Budget
2. Deficit Budget

1. Surplus Budget

The budget is a surplus budget when the estimated revenues of the year are greater than anticipated expenditures.

Government Estimated revenue
>
Estimated Government Expenditure.

2. Deficit Budget

Deficit budget is one where the estimated government expenditure is more than expected revenue.

Government's estimated Revenue
<
Government's proposed Expenditure.

9.11.4. Budgetary Procedure

Budgetary procedure refers to the system through which the budget is prepared, enacted and executed.

(A) Preparation of the Budget

The Ministry of Finance prepares the Central Budget every year. At the state level the finance department is responsible for the Annual State Budget. While preparing the budget, the following factors are taken into account:

- The macro economic targets to be achieved within a plan period;
- The basic strategy of the budget;
- The financial requirements of different projects;
- Estimates of the revenue expenditures (includes defence expenditure, subsidy, interest payment on debt etc.);
- Estimates of the capital expenditures (includes development of railways, roadways, irrigations etc.);
- Estimates of revenue receipts from tax and non-tax revenues;

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